

2. Firms under monopolistic competition are price makers. They set their own prices.
3. Firms produce differentiated products. It is the key element of monopolistic competition.
4. There is a free entry and exit of firms.
5. Firms compete with each other by incurring selling cost or expenditure on sales promotion of their products.
6. Non – price competition is an essential part of monopolistic competition.
7. A firm can follow an independent price policy.

5.8.2 Price and Output Determination under Monopolistic Competition

The firm under monopolistic competition achieves its equilibrium when it's MC = MR, and when its MC curve cuts its MR curve from below. If MC is less than MR, the sellers will find it profitable to expand their output.

Under monopolistic competition

(1) The demand curve is downwards sloping.

(2) There are close substitutes.

(3) The demand curve (the average revenue curve) is fairly elastic.

Under monopolistic competition, different firms produce different varieties of the product and sell them at different prices. Each firm under monopolistic competition seeks to achieve equilibrium as regards

1. Price and output, 2. Product adjustment and 3. selling cost adjustment.

Short-run equilibrium:

How does a monopolistically competitive firm achieve price-output level equilibrium? The profit maximisation is achieved when MC=MR.

'OM' is the equilibrium output. 'OP' is the equilibrium price. The total revenue is 'OMQP'. And the total cost is 'OMRS'. Therefore, total profit is 'PQRS'. This is super normal profit under short-run.

But under differing revenue and cost conditions, the monopolistically competitive firms may incur loss.

As shown in the diagram, the AR and MR curves are fairly elastic. The equilibrium

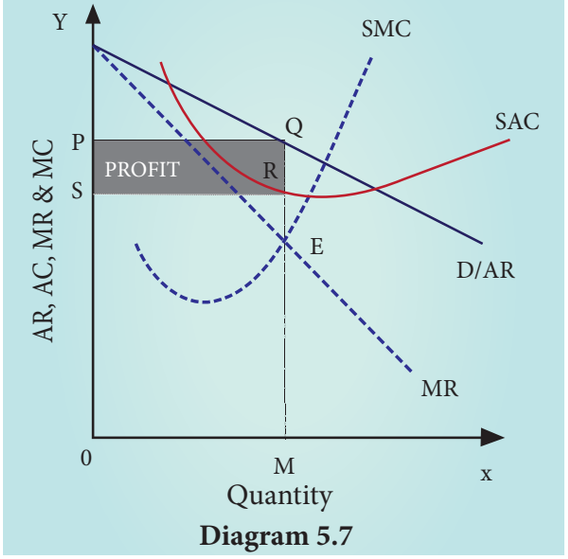


Diagram 5.7

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